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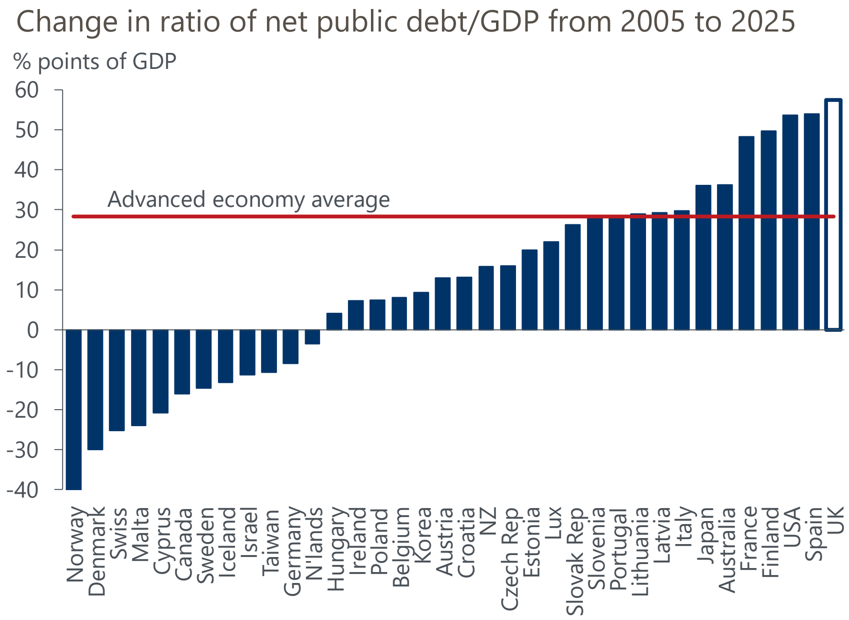
Research Briefing | UK

What should the Chancellor do in the Budget?

- **Alongside our recent Budget preview, this piece takes a different approach and considers what the Chancellor should do in the Budget rather than what we expect the Chancellor will do.**
- **As well as meeting the fiscal rules, we think the Chancellor should have three other aims in the Budget. First, to address the UK's medium-term fiscal vulnerabilities, which partly reflect low potential growth, and thereby reduce risks of a further sharp rise in public debt over time. Second, to avoid leaning too heavily on tax hikes. Third, to set significantly higher headroom against the fiscal rules, and so reduce uncertainty about fiscal policy in coming years.**
- **Our proposals for fiscal consolidation include tax hikes, mainly via higher rates of income tax, a windfall tax on banks, and higher taxes on betting. But we also call for significant cuts to the public spending plans, including welfare and health. We suggest measures to reduce disincentives from taxes on low-paid work and very high marginal tax rates further up the income scale, funded by broadening the tax base. We propose other measures to lift potential growth, including through workforce participation, as well as a clearer aim of improving trade links with the EU. To address longer-term fiscal risks, the state pension "triple lock" should over time be replaced by indexation to earnings.**
- **We stress that this is not what we expect the Chancellor to do in this Budget. But a more limited package that is focussed on tax hikes, fails to address the UK's medium-term fiscal vulnerabilities, and continues to set low headroom would maintain risks that the UK remains stuck in a rut of sluggish economic growth, fiscal policy uncertainty, and relatively high bond yields.**

Chart 1: Since 2005, the UK's net public debt has risen faster than any other advanced economy



Source: Oxford Economics/Haver Analytics

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Budget may not resolve the UK's fiscal vulnerabilities

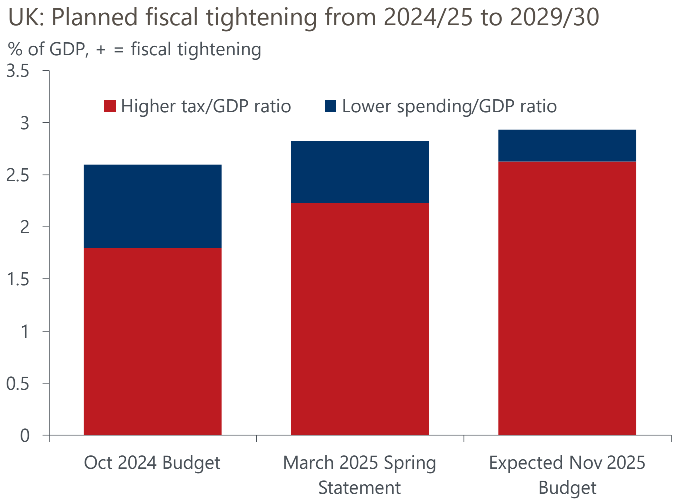
We expect the upcoming Budget (due on November 26) will tighten fiscal policy by £20bn-£30bn. This will be needed to offset a £20bn-£25bn deterioration in the fiscal outlook from a lower potential growth outlook by the Office for Budget Responsibility, the government's reversals on welfare reforms, and other forecast changes. Our "top end" estimate of the likely fiscal tightening (£30bn) also includes a £5bn rise in fiscal headroom to £15bn. To achieve this, we expect a £6bn backloaded cut to planned spending to offset the cost of the slippage on benefits, plus net tax hikes of £14bn-£24bn.

Such a Budget would ensure that the OBR judges the UK is on track to meet the fiscal rules (current Budget surplus and falling debt ratio in 2029/2030). But that is a very limited and minimal aim. In other respects, such a Budget would have sizeable shortcomings.

First, it would not really reduce the UK's medium-term fiscal vulnerabilities, which mainly stem from low potential growth and upward pressures on spending (including demographics, defence, and debt service). The net debt/GDP ratio has risen from 37% to 95% over the last 20 years, the biggest rise among advanced economies and roughly twice the average increase among advanced economies. The OBR's projections show a further sharp rise in public debt over future decades, especially if adverse shocks recur. It seems unlikely that such a path would be sustainable.

Second, a Budget in line with our expectations would shift the mix of fiscal tightening further towards tax hikes rather than spending restraint. It would imply that 90% of the tightening between 2024/2025 and 2029/2030 is via a rising tax GDP/ratio, versus 80% in the March 2025 Spring Statement and 70% in the October 2024 Budget. Historical experience (see here and here) suggests that fiscal consolidations focussed on tax hikes have a relatively low success rate. A piecemeal approach that raises revenues through lots of small measures might also add to the impression the government is near the limits of its revenue-raising ability, raising worries about medium-term fiscal sustainability.

Chart 2: The Budget is likely to shift the mix of fiscal tightening further towards tax hikes



Source: Oxford Economics/Haver Analytics

Third, if the Chancellor leaves headroom at £10bn, it would risk a rerun of facing a further fiscal black hole next year if, for whatever reason, the OBR judges the economic outlook has again worsened slightly.

So, what should the Chancellor do? To start, the government needs to be upfront about the UK's relatively weak fiscal position and the difficult policy decisions it faces as a result. Also, it needs a multi-pronged approach that aims to lift potential GDP growth, rein in public spending both in the near term and longer term, raise tax revenues and reduce harmful tax distortions, and set markedly higher headroom against the fiscal rules.

1. Raise fiscal headroom by £10bn

In last year's Budget and the March Spring Statement, the Chancellor set fiscal headroom at just £9.9bn, far below the average (around £30bn in current prices) during 2010-2022. With such low headroom, even modest changes in bond yields or the economic outlook would oblige the Chancellor to cut public spending or hike taxes. The resultant uncertainties over taxes and public spending hinder long-term planning and investment. These uncertainties also fuel financial market scepticism about the government's ability to achieve a sustainable fiscal path.

The answer is not to scrap the OBR forecast process or change the fiscal rules again. Such actions would be self-defeating because they would further undermine market confidence in the UK's fiscal prospects. It would be far better for the Chancellor to raise headroom by £10bn to £20bn (or higher), making the fiscal plans less sensitive to modest changes in the economic outlook. Budget decisions could then focus more on long-term measures to improve the economy and public services, rather than having to search for an extra billion or two to make the sums work. Given the OBR's expected forecast revisions, this raises the required fiscal tightening to £30bn-£35bn.

2. Adopt a broader approach to lifting potential GDP growth

Higher potential growth would transform the UK's fiscal outlook. Tax receipts would be larger and, with stronger nominal GDP growth, the debt ratio would fall faster. For example, if the OBR's potential GDP growth forecast was 0.5ppts per year higher, headroom against the fiscal rules would be £34bn rather than the £10bn figure shown in the Spring Statement.

The government's current strategy for lifting potential growth focuses on investment, especially public investment and housebuilding. These measures are useful, but as the OBR's estimates show, they are unlikely to materially lift potential growth over five years, with little effect even after 10 years. A broader approach could (as we argued previously) also consist of the following:

- Closer trade links with the EU. Probably the most cost-efficient way to lift potential growth would be to rejoin the EU or, failing that, to join the EU Single Market or Customs Union. This seems very unlikely in the next few years, but the government should have it as a long-term aim for the next 10-15 years and seek to solidify the pro-EU drift in public opinion. The government has acknowledged that by cutting potential output, Brexit has significantly worsened the UK's fiscal position. But it has not yet said how it will seek to mitigate this. As a first step, it could highlight the fiscal benefits and the boost to living standards that would result from significantly closer trade links with the EU.
- A package to lift workforce participation, including: reforms to incapacity benefits to increase incentives to seek work (see below); an extra £1.5bn for subsidised childcare to lift the numbers of hours available and hence raise female workforce participation; an extra "active retirement" tax allowance, allowing people who work beyond the state pension age to earn up to £10,000 per year tax-free (not available for investment income), similar to a new scheme in Germany, at a cost of £2.8bn. We also advocate a New Zealand-style "Office for Seniors" with a remit to reduce obstacles to older workers staying in work.
- A special visa scheme for construction workers to ease sectoral labour shortages and hence allow faster progress in the government's ambitious targets for infrastructure and housebuilding (no cost).
- Postpone the proposed alignment of the National Living Wage for people aged 18-20 years with the full NLW rate (for people aged 21+ years) to avoid further raising the cost of younger workers (no cost).
- Tax measures to support low-paid work and increase labour supply (see below).

Apart from EU membership, the other measures would improve potential output faster than the existing investment strategy because they mostly rely on more efficient use of the existing capital stock (including human capital), rather than the slower-moving effects from expanding the capital stock. But supply-side measures which work slowly are also worth doing, because they will reduce medium-term fiscal risks.

3. Tackle disability benefits and slow the rise in health spending

Rather than a heavily tax-focussed strategy, we also propose lower public spending growth, looking to cut about £9bn (0.7%) from the spending plans (to achieve a £7bn cut net of the extra spending on childcare subsidies), in addition to restoring the cuts to disability benefits (£4bn-£5bn) that were in the Spring Statement but subsequently withdrawn. We believe such spending cuts must include health and welfare.

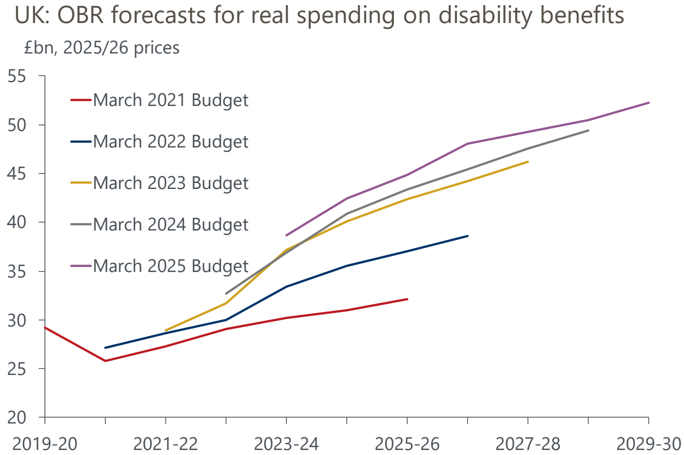
At present, defence, health, welfare and debt interest – which account for 57% of public spending this year – are jointly set to grow by 2.1% y/y in real terms from 2025/2026 to 2028/2029 (assuming health spending for Scotland, Wales and Northern Ireland rises in line with the government's plans for England). Within this, health spending will rise by 2.7% y/y in real terms. Defence spending is surely untouchable, as it will need to rise further over time to hit the NATO target of 5% of GDP.

Spending in "unprotected areas" combined, which account for the remaining 43% of public spending, will already fall by 0.2% y/y on average in real terms between 2025/2026 and 2028/2029. These other areas include education, police and prisons, environmental protection, science and technology, culture, transport, and investment other than health and defence. It may be possible to trim a little (e.g. £3.5bn, 0.6%) from planned spending in 2028/2029 in these areas, but it is probably unrealistic to do much more.

So, we propose two changes, alongside the triple lock discussed below.

First, restore the aim to trim £4bn-£5bn from disability benefits. This was in the Spring Statement but subsequently but scrapped. Spending on disability benefits this year will be roughly 40% (£13bn) higher than expected (in real terms) four years ago (**Chart 3**). This has increased alongside a sharp rise in the number of people out of the workforce due to long-term sickness. Part of the problem appears to be that the structure of these benefits might discourage people from seeking to return to work, even on a limited scale (see here and here). Rather than cut the benefits, a better approach is to try to make it easier for people with long-term health conditions to remain in work or return to work (see here, here and here).

Chart 3: Spending on disability benefits has surged in recent years

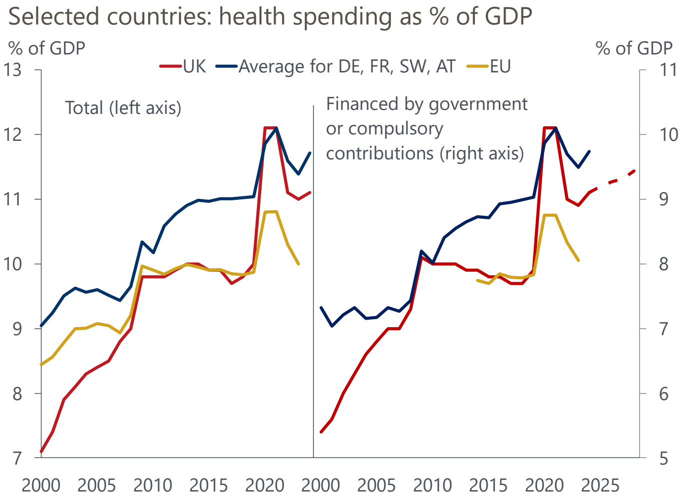


Sources: Oxford Economics/Haver Analytics

Second, stabilise health spending stable as a pct of GDP. On an internationally comparable basis, total UK health spending has moved from being quite low versus major EU economies to now being relatively high. At 11.1% of GDP in 2024 (and higher in 2025), UK health spending exceeds all bar four EU countries and is not far short of the average for Germany, France, Sweden, and Austria (the highest four EU countries), which have much higher tax burdens (**Chart 4**). The trend is similar for health spending financed by government or compulsory contributions.

The UK's current plans imply public health spending will continue to outpace GDP in the coming years. Unless the government's aim is to shift to a high tax level like Germany, France, Sweden, and Austria, we suggest that until the fiscal position is stronger, the aim should be to stabilise public health spending in the coming years at next year's high share of GDP rather than continue to increase it as a share of GDP. This would mean cutting about £5.5bn (1.9%) off planned UK spending in 2028/2029, based on the Spring Statement GDP forecast. Health spending could return to a rising trend (as a share of GDP) if and when the current balance is in surplus or the government debt/GDP ratio is no longer rising.

Chart 4: UK health spending is now close to European highs



Source: Oxford Economics/Haver Analytics

4. Broaden the tax base, scrap the manifesto commitments to rule out major tax hikes

Our expectations for the Budget include net tax hikes of £14bn-£24bn, including further freezes to income tax allowances and the National Insurance contributions thresholds, widening the tax base for NICs, and curbing some pension tax reliefs. But a more effective option would be for the Government to start with a blank slate, abandon its manifesto commitments to avoid raising the main rates of VAT, income tax, NICs, and corporation tax, and simply judge the most efficient means of raising the required money. Our proposed measures imply a net tax hike of roughly £24bn (allowing for the £2.8bn allowance for working pensioners) because we aim for higher headroom. We propose:

- Raise basic and higher income tax rates by 2% (raises £21.1bn).
- A windfall tax on banks and extra betting taxes (jointly raises £7bn).

These measures account for all the net rise in the tax burden. We also propose a package of tax changes that is roughly revenue neutral. They raise revenues, mainly by broadening the tax base. This is used to reverse last year's cut in the NICs threshold, which sharply raised the costs of hiring low-paid workers and hence probably lowered the equilibrium employment rate. It is also used to reduce the very high effective marginal tax rates on incomes from £60,000-£125,000, which damage incentives and are likely to have increasingly adverse effects on labour supply.

These high marginal tax rates stem from the withdrawal of the income tax personal allowance, child benefit, and subsidised childcare for people with incomes above specified thresholds. For example, a person with two kids, of which one is in childcare, with a working spouse faces an effective marginal tax rate of about 60% if their incomes rise from £60,000 to £125,000 (**Chart 5**). Going from £99,000 to £125,000, the effective marginal tax rate is around 80%. This is likely to discourage people from making the extra effort needed to earn more.

This is a recent development. Tapering of the personal allowance began in 2010, and the child benefit taper began in 2012. The new subsidised childcare scheme (introduced 2024-2025) is only available to working parents with earnings below £100,000, further lifting effective marginal rates for people with incomes just below that level. Moreover, rising numbers are affected by these very high effective marginal rates because the thresholds where they bite have not risen in line with prices. Indeed, the threshold for the personal allowance taper has stayed at £100,000 since 2010 (falling about 50% in real terms). In 2012/2013, only 8.6% of taxpayers had incomes in the range of £50,000-£150,000, whereas now 20.4% do. Unless these thresholds are lifted, growing numbers of people will face very high marginal tax rates in the coming years.

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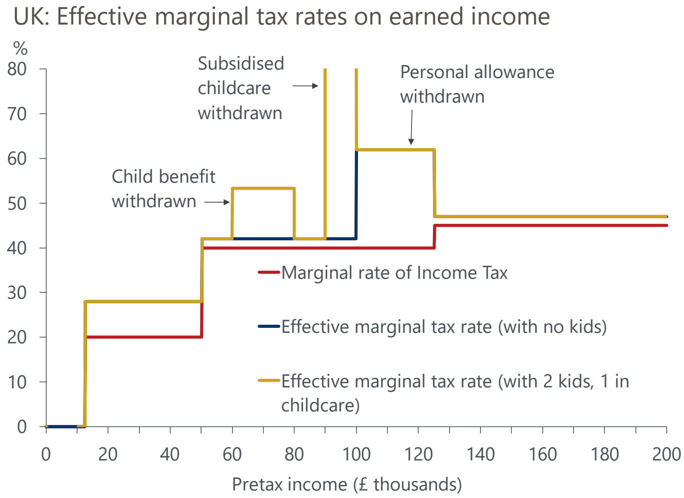
Chart 5: Marginal tax rates are very high between £60,000-£125,000



Source: Oxford Economics/Haver Analytics

Our proposals:

- Raise the upper earnings rate and upper profit rate on employees' (and self-employed) NICs by 3ppts (raises £7.4bn), extend NICs to LLPs and landlords (raises £4bn).
- Set a uniform 30% rate for tax relief on pension contributions, implying greater tax relief for basic-rate taxpayers, who currently get 20%, and less for higher-rate taxpayers, currently 40%-45% (raises £3bn).
- Cut the tax-free lump-sum pension ceiling to £100,000 (raises £2bn).
- Reverse the cut in the threshold for employers' NICs announced in 2024 Budget (cost of about £10bn net of behavioural effects).
- Lift the level at which income tax allowances are tapered from £100,000 to £150,000 (estimated cost £6.5bn), which restores its real value to the 2010 level, and raise it in line with CPI inflation thereafter.
- Lift the High Income Child Benefit Charge threshold by £20,000 and widen the HICBC taper band to £45,000 from £20,000 currently (cost £1.4bn).
- Scrap the £100,000 ceiling for subsidised childcare and extend it to all families (cost £0.5bn).
- Income tax allowances and the NICs thresholds would be indexed for 2028/2029 and 2029/2030, rather than frozen in our expected package. Fuel duties would be indexed, and the temporary 5p cut in fuel duty announced in 2022 would be allowed to unwind. This has no cost relative to the existing fiscal plans.

These measures cut tax on employers hiring people in low-paid work (higher NICs threshold) and flatten out the very high marginal tax rates on incomes from £60,000-£125,000. The spike in marginal rates from the personal allowance taper would be shifted up to £150,000-£175,000, where it affects fewer people.

We have not allowed for any supply-side effects of these changes through labour supply. We have aimed for a package that, while raising revenue, may even help potential output.

5. To reducing long-term fiscal risks, start with the state pension "triple lock"

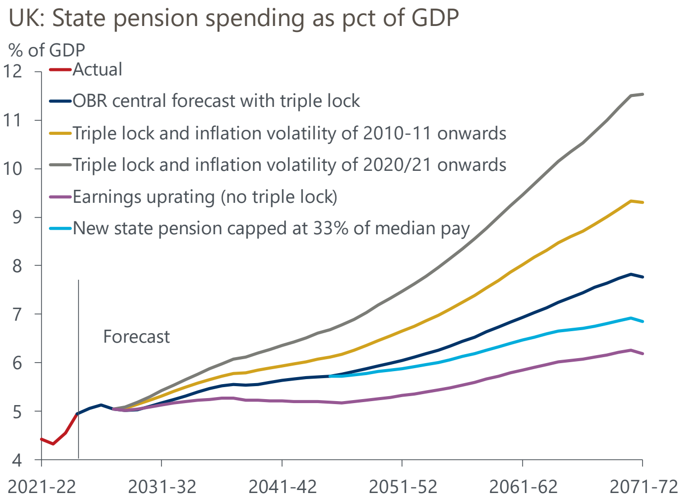
Over the long term, the UK faces extra spending pressures from population ageing, as do other advanced economies. But in the UK, these will be exacerbated by extra effect of the pensions "triple lock". This requires that the state pension (expected to total £146bn or 5.1% of GDP this year) rises in line with the greater of CPI inflation, pay growth, and 2.5%.

The OBR's central forecast is that state pension spending will rise by 2.8ppts to 7.8% of GDP over the next 45 years. Less than half this rise reflects population ageing. If the state pension rises in line with pay (or the average of pay and CPI inflation), then pension spending will rise by only about 1ppt of GDP. Most of this rise reflects the interaction of the triple lock with the heightened volatility of inflation and pay growth.

Because the triple lock matches the highest of pay growth, inflation, and 2.5%, over time it tends to outpace them all. When the triple lock was introduced in 2010, the OBR's initial expectation (based on prior trends in the volatility of pay and prices) was that it would cause pensions to outpace earnings by 0.2ppts per year over time. In practice, greater volatility of pay and prices since 2010 means that pensions have outpaced pay by about 1ppt per year and outpaced CPI inflation by 1.2ppts per year. In the last five years (2020/2021-2024/2025), with even higher inflation volatility, the "triple lock" formula on average has exceeded pay growth by 1.4ppts per year and outpaced inflation by 2.3ppts per year.

The OBR's forecast assumes the volatility of inflation and pay fall, so that pensions rise 0.2ppts per year more than pay to 2029/2030 and 0.5ppts faster than pay thereafter. But if, instead, inflation volatility from 2027 onwards matches the post-2010 average, then state pension outlays will rise by 4.3ppts to 9.3% of GDP. If future inflation volatility matches the post-2020 average, then state pension spending will increase by 6.4ppts to 11.5% of GDP (**Chart 6**).

Chart 6: Changing the pensions "triple lock" would reduce longrun fiscal risks



Source: Oxford Economics/Haver Analytics

We believe this fiscal exposure to inflation volatility is unsustainable. It is also accidental because the triple lock was never intended to cause the state pension to rise significantly faster than pay and prices. It seems inevitable that the triple lock will be abandoned eventually. The key difficulty is that change will generate major political opposition for distant fiscal gains.

We propose the government should announce now that the triple lock will be maintained until the new state pension reaches a specified share of average pay, with the pension subsequently indexed to earnings (or the average of pay and prices). For example, this year, the full rate for the new state pension is 30% of median full-time pay (the basic state pension is 23%). If the threshold is set at 33% for the new state pension (implying a basic state pension of just over 25%, the highest since 1984) then, based on the OBR's central forecast, the switch will occur around 2045. It would come earlier if inflation volatility is higher. A similar formula could apply to couples. This would still imply the state pension will tend to rise in real terms because pay growth usually outpaces inflation. It would not affect the existing fiscal plans, which extend to 2029/2030, either way. But it would limit the rise in state pension spending to just below 2ppts of GDP over time, regardless of inflation volatility.

To address other longer-term fiscal vulnerabilities, the government also should announce reviews in three other areas: whether to replace stamp duty on houses with a land value tax or reformed Council Tax with updated values; whether this could be used to fund social care and, if not, what other mechanism should be used; and how to replace fuel duty (e.g. with a road use tax) as the share of electric cars rises and the share of petrol and diesel cars falls. These would probably need to be phased in, but signalling an intention to tackle the issues would reduce medium-term fiscal risks.

Conclusion

The combined effect of all these measures raises taxes by about £24bn, and cuts public spending by £11bn-£12bn (of which £4bn-£5bn is from reinstating the welfare cuts in the Spring Statement, while about £7bn is from new cuts, net of the increase in subsidised childcare). This would tighten fiscal policy by about £35bn, enough to allow a £10bn rise in headroom plus a £25bn net tightening. If slightly more or less is needed, then this could be achieved by varying the cuts to health spending and the rise in the NICs upper earnings rate (each 1ppt change is worth £2.5bn).

We stress that most of these measures probably will not feature in the upcoming Budget. The most likely to feature probably is a £10bn rise in headroom and some of the revenue raisers. The other proposals probably would mostly be regarded by the government as too politically difficult.

But that judgement also highlights why the UK is finding it difficult to return to a sustainable fiscal path. The current government, with a large majority and nearly four years until the next election, is relatively well-placed to make tough decisions. But its self-imposed constraints on tax changes, health and defence spending, and EU membership rule out various options that could significantly improve the fiscal position in the next 5-10 years. There seems to be little urgency to address longer-term challenges. It seems politically easier to try and muddle through and hope that something turns up. But that strategy runs the risk that at some stage financial markets will lose patience, forcing a sharper and more painful policy adjustment that inflicts further damage on the economy's prospects.